

TSE Urgent Notice



Mar. 31, 2022
Listing Department
Tokyo Stock Exchange, Inc.

Designation of Security on Alert and Imposition of Listing Agreement Violation Penalty

TSE has designated the stock as a Security on Alert and imposed a listing agreement violation penalty as follows.

*This decision is based on the results of the examination by Japan Exchange Regulation.

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| 1. | Issue Name | G Three Holdings CORPORATION stock
(Code: 3647, Market Division: 2nd Section) |
| 2. | Date of Designation of Security on Alert | Apr. 1, 2022 (Fri.) |
| | Provision | Securities Listing Regulations, Rule 501, Paragraph 1, Item (3)
(due to disclosed information containing false statements, and TSE deeming that the improvement of the internal management system, etc. of such listed company is highly necessary) |
| 3. | Listing Agreement Violation Penalty Total | JPY 28.8 million |
| | Provision | Securities Listing Regulations, Rule 509, Paragraph 1, Item (1)
(due to disclosed information containing false statements, which is deemed to have undermined the confidence of shareholders and investors in the TSE market) |
| 4. | Reason | G Three Holdings CORPORATION (hereinafter "the Company") disclosed the establishment of a special investigation committee on Nov. 10, 2021, the investigation report of the committee concerning inappropriate accounting processing on Feb. 2, 2022, and corrections to its past earnings reports on Feb. 18, 2022. These disclosures revealed that the former representative director and president had undervalued the importance of ensuring the appropriateness of accounting processing in relation to a solar power generation business case that he was actively involved in, carrying out inappropriate accounting processing such as recording sales when the relevant transactions did not satisfy requirements for revenue recognition, having failed to appropriately report background information and funding flows to the board of directors. As a result, the Company was found to |

have made disclosures deemed false in violation of the listing rules for quarterly earnings reports, etc., from the third quarter of the fiscal year ended Aug. 2017 through the third quarter of the fiscal year ended Aug. 2021. As a result of the subsequent corrections to past earnings reports, the Company's net income attributable to owners of the parent company was found to be negative, having been falsely reported positive, for the fiscal years ended Aug. 2017 and Aug. 2018, among other things.

It was deemed that the following points contributed to the occurrence of these disclosures:

- At the time of another case of inappropriate accounting processing in relation to a solar power generation business case which came to light in 2015, the Company disclosed recurrence prevention measures based on the recommendations of the investigation report of a third-party committee on Nov. 2, 2015 and Jan. 29, 2016, but failed to implement these measures appropriately.
- The former representative director and president was the only person to understand the entire picture of the solar power generation business and failed to report appropriately to the board of directors.
- The Company's board of directors should have carried out thoughtful deliberations based on the recurrence prevention measures above; however, as a summary of discussion points was not distributed in advance, it approved the agenda with inadequate deliberation.
- The audit committee verified evidence related to the board of directors' agenda and carried out deliberations despite not having gathered adequate internal information as all members were part-time members and no full-time assistant was assigned, meaning that these actions were inadequate.
- Owing to an unclear business operation process and a lack of segregation of duties related to the solar power generation business, the scope of business execution carried out by the former representative director and president had widened.
- The Company had not put in place a system to appropriately keep track of information on related parties and prevent conflicts of interests when executing business transactions.

TSE deems that this is a case of inappropriate disclosure, etc. that is deemed to have considerable impact on investment decisions and that improvements to the Company's internal management system, etc. are highly necessary. As such, TSE designates its stock as a Security on Alert.

Moreover, this case involves a lack of appropriate implementation of recurrence prevention measures disclosed in the past and continued inappropriate posting of sales under the Company's insufficiently improved internal management system. As a result, the Company made large-scale corrections to sales and income and continued to publish false information on earnings results, information that is highly important for investment decisions, for a long period. As such, TSE deems that this case has undermined the confidence of shareholders and investors in the TSE market and, therefore, shall impose a listing agreement violation penalty on the Company.

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